

Micron Technology, Inc.

MU NASDAQ

Buy	\$924.89 ▲ 0.09%	12M Price Target \$1100.00	52-Week Range \$154.65 – \$1255.00	Market Cap \$1.04T
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MU: HBM Darling Cools Off as AI Trade Wobbles

WHAT HAPPENED

- MU is down about 10% in a week — from \$1,027 to \$925 — but today it basically flatlined (+0.09%). That tells me the panic selling is exhausted; buyers stepped in at \$920 even though the broader AI trade is still shaky (Nvidia sold off, tech ETF down 2% on the week).
- The GuruFocus "Worrying News For Micron Stock Fans" piece and the "Bond Jitters" headline are the real drivers — this isn't a Micron-specific problem, it's a rates-and-AI-froth reset. When 10-year yields spike, expensive growth names get hit first, and MU had run 6x off its lows.

WHY IT MATTERS

Here's what I think is actually happening: the market is stress-testing whether AI capex is sustainable, and MU is the highest-beta way to play that question. The 24/7 Wall St. piece is actually bullish long-term — if 70% of an Nvidia AI supercomputer's cost is the GPU, a huge chunk of THAT cost is Micron's HBM memory stacked on top. Every Vera Rubin chip Nvidia ships is a Micron order. The pullback looks more like profit-taking on a name that tripled than a thesis break — but watch the \$900 level, because if that cracks, algos will chase it down to \$850 fast. Options flow is telling: massive \$930 call AND put buying means traders are betting on a BIG move either way around next week's earnings-adjacent window.

POLICY & POLITICAL WATCH

The CHIPS and Science Act is still Micron's single biggest political tailwind — they've been awarded roughly \$6.1B in direct grants for their Idaho and New York fabs, and the current administration has kept those flowing despite some earlier threats to renegotiate. The bigger near-term watch: export controls on advanced memory to China. If Commerce tightens HBM export rules further (they've been tightening since 2024), that's a modest revenue headwind but a MASSIVE competitive moat because it kneecaps Chinese memory rival CXMT. Also keep an eye on the Clarity Act vote today — not directly memory-related, but it's driving the risk-off tape that's pressuring MU.

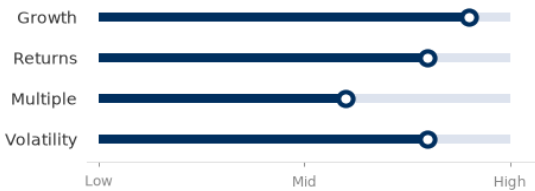
IS IT EXPENSIVE?

At \$925 and roughly \$14 in forward EPS, MU trades around 65x forward earnings — sounds insane, but memory is a cyclical business and you're supposed to buy it at high P/Es and sell at low ones (counterintuitive, I know). The better lens is EV/EBITDA around 22x — investors are paying \$22 for every \$1 of pre-tax cash profit, which is rich versus the historical 8-10x but justified IF HBM stays supply-constrained through 2027. Bottom line: not cheap, but not bubble-y either given HBM is sold out through next year.

Key Data

Price (USD)	\$924.89
12M Price Target	\$1100.00
Upside / (Downside)	+18.9%
Market Cap	\$1.04T
FY2026E Revenue	\$51,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$22.50
Fwd P/E	65.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$950.00	\$820.00
6 Months	\$1300.00	\$1100.00	\$750.00
1 Year	\$1500.00	\$1200.00	\$700.00
2 Years	\$1800.00	\$1400.00	\$650.00
5 Years	\$2500.00	\$1700.00	\$500.00
10 Years	\$4000.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today, +1.7% on the week) — oil is catching a bid, likely geopolitical. Healthcare quietly green too, classic defensive rotation.

COOLING OFF: Tech, Industrials, Real Estate all down on the week — this is a rates-driven risk-off move, not sector-specific weakness. Bond yields rising makes long-duration assets (growth stocks, REITs) less attractive.

ROTATION WATCH: Money is moving OUT of high-multiple AI winners and INTO energy and defensives. This is a "take profits before Fed uncertainty" trade, not a fundamental shift. When bond yields settle, expect the AI trade to resume.

RELATED PLAY: If you like MU here, SK Hynix (Korean listing) is the pure-play alternative, and Applied Materials (AMAT) or Lam Research (LRCX) sell the equipment that makes the HBM — they benefit from every Micron capex dollar.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy leading on oil bid — pure risk-off rotation beneficiary.
- AVGO (Broadcom): Holding up better than Nvidia in the AI selloff because of its custom-silicon business with hyperscalers, which is seen as stickier.

MU CONTEXT: MU is lagging the broader semis this week — down ~10% vs. tech ETF down ~2%. That's because it had run harder than peers into this correction. Lagging on the way down after leading on the way up is normal for high-beta names; doesn't break the thesis but tells you sentiment is fragile.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$880-920 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing crack, Samsung finally qualifies at Nvidia, or memory downcycle returns earlier than expected

Hedging: Small put spread or pair with a short on a lower-quality memory name